PART III – STATUS OF IMPLEMENTATION OF PRIOR YEARS' AUDIT RECOMMENDATIONS

Out of the ninety-seven (97) unimplemented audit recommendations contained in the previous Annual Audit Report (AAR), fourty seven (47) or 48% were fully implemented; and fifty (50) or 52% were not implemented. Out of the 50 not implemented, 38 were reiterated/ revised/ restated in the CY2024 AAR, while the remaining 12 were not implemented at all as dicussed below:

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
AAR 2023	1.) Cash and cash equivalents totaling P1,431,489,766.90 were noted with various discrepancies/ errors due to lapses in the cash management control procedures thereby affecting the fair presentation of the balances in the financial statements at year end. A. *Omission in recording stale checks amounting to P73,094.38 resulted in the understatement of Cash in Bank -Local Currency, Current Account.*	We restated our prior year's recommendations to the City Mayor: 1. The City Treasurer's Office (CTO) to ensure timely submission of the Schedule of Staled Checks and the Bank Credit/Debit Memoranda to the City Accounting Office for its proper recording in the books of accounts; and	The CTO submitted the Schedule of Staled Checks and Bank Credit/Debit Memoranda to the CAO within the prescribe period.	Fully Implemented	Not Applicable
	B. *Book reconciling items in the BRS remained unadjusted in the books as at December 31, 2023 resulting to a misstatement in the Cash in Bank -Local Currency, Current Account (LCCA) by P17,089,763.04.*	2. The CTO and City Accounting Office (CAO) to coordinate and ensure that the book reconciling items in CY 2023 and prior years are adjusted in order that balances of Cash in Bank accounts and other affected accounts are corrected.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-10	As of December 31, 2024, book reconciling items in the Bank Reconciliation Statement remained unadjusted.
	C. *Non reconciliation of Cash-local Treasury and Cash in Bank – LCCA account balances between*	We restated our prior year's recommendation that the City Mayor enjoin the City			

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	the records of City Accounting Office (CAO) and City Treasurer's Office (CTO) resulted in a variance of P673,099.22 and P4,567,874.42.	Accounting and City Treasurer's Office to: 3. Reconcile the discrepancies noted between their records and to regularly reconcile the same so that errors and discrepancies in balances could be traced and accordingly adjusted; and		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-10	As of December 31, 2024, the balance between the records of CAO and CTO remained unreconciled.
		4. Draw adjusting entries to correct the balances of affected Cash and cash equivalent accounts and to adjust balances in the Cash Books.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-10	As of December 31, 2024, unreconciled balances remained unadjusted.
	D. Cash balances totalling P980,907.15 under Trust Fund bank accounts which the specific purpose has already been implemented and/or has been dormant were not reverted back to General Fund	5. We restated our prior year's recommendations to the City Mayor to direct the City Treasurer to secure authority from Sangguniang Panlungsod to close the dormant bank accounts and to revert the balances to the general fund or the National Treasury, wherever applicable.	The City Treasurer's Office have secured authority from Sangguniang Panlungsod to close the dormant bank accounts and reverted the balances to the general fund.	Fully Implemented	Not Applicable
	E. Cancelled checks were not attached to the Reports of Check Issued (RCI) neither submitted to the Commission on Audit	6. We recommended that the City Mayor direct the City Treasurer and City	The City Accounting Office have submitted the cancelled checks.	Fully Implemented	Not Applicable

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		Accountant to submit immediately the remaining 39 checks to COA for validation and to ensure regular submission thereof.			
AAR 2023	2.) The accuracy of the reported balance of Property, Plant and Equipment (excluding Construction in Progress account) amounting to P2,797,610,037.27 could not be ascertained due to various errors and deficiencies noted, thus, fair presentation of balances presented in the financial statements at year-end are rendered doubtful.	We restated the prior years' recommendations to the City Mayor: 7. The City Accounting Office (CAO) and the City General Services Office (CGSO) to fast-track the reconciliation of the PPE accounts in accordance with COA Circular No. 2020-006 dated January 31, 2020 and ensure the swift and regular reconciliation of records of both offices pertaining to the City's PPE;		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-11	Details of PPE obtained from the City Accounting Office (CAO) and submitted report of physical count from the City General Services Office (CGSO) revealed a total variance of P30,261,025.02 in several PPE accounts.
		8. The CGSO to facilitate the transfer of the identified PPE Items and ensure compliance to documentary requirements and other procedures provided under applicable rules and regulations;		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-11	Out of the 206 items totalling P326,971,457.76, 93 PPE items thereof, with carrying amount of P69,429,610.15, were already requested for transfer without cost to recipient agencies but was only approved by the Sangguniang Panlungsod on the ensuing year as per

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					SP Resolution No, 25, series of 2025. On the other hand, 111 PPE items with carrying amount of P253,693,449.84 is yet to be subjected for request by the City Mayor to the Sangguniang Panlungsod for authority to transfer to various government agencies.
		9. After completion of the transfer of the properties, the CAO to de-recognize the specified assets from the City's books of accounts and furnish the respective recipient national and local government agencies a copy of the Journal Entry Voucher together with the supporting documents to facilitate the recording in the latter's respective books of account;		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-11	Several of these identified PPE items still remained recorded in the books and not yet transferred to the recipient agencies. Further, the CAO has not yet provided the Audit Team the references of the adjusting entries made.
		10. For the improper and inconsistent classification and misclassification of PPE, accounts and Intangible Assets, the CAO to make the necessary adjusting entries to properly reflect the correct classification and	The City Accountant have adjusted the affected accounts.	Fully Implemented	Not Applicable

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		balances of PPE accounts affected;			
		11. For the PPE items with acquisition cost of below P50,000.00, the CGSO to exclude the items in the RPCPPE and the CAO to make the appropriate adjusting entries to derecognize the affected PPE in accordance with COA Circular 2022-004 dated May 31, 2022;	The City Accountant have adjusted the affected accounts.	Fully Implemented	Not Applicable
		12. For the unserviceable and obsolete properties, the CGSO to facilitate its immediate disposal and furnish the CAO the necessary supporting documents to enable its derecognition from the books; and		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-11	Unserviceable and/or obsolete PPE items with net book value of P2,704,249.72 were not yet disposed and derecognized from the books.
		13. The CGSO to use the prescribed RPCPPE form and ensure that all the necessary information required therein are entirely provided	The CGSO have used the prescribed RPCPPE form for CY2024.	Fully Implemented	Not Applicable
AAR 2023	3.) Completed projects totalling P36,160,446.04 for all funds were not provided with depreciation due to non-	We restated the prior years' recommendations to the City Mayor:		Not Implemented but reiterated in CY 2024 AAR	As of December 31, 2024, several of these identified completed projects are still

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	reclassification of the accounts from Construction-in-Progress (CIP) to its appropriate asset accounts, inconsistent with applicable COA rules and regulations, thus overstating the Property, Plant and Equipment and Equity Accounts of the agency by at least P973,778.16 as at December 31, 2023.	14. The City Engineer's Office (CEO) to immediately submit to the City Accounting Office (CAO) the necessary supporting documents (i.e. Certificates of Completion, Certificates of Acceptance, etc.) in order to reclassify the items recorded under CIP accounts to the appropriate asset accounts most especially those completed in CY 2022 and CY 2023;		per AOM No. 25-11	recorded under the CIP account and not yet reclassified to its proper asset account.
		15. The City Mayor to create a special Committee composed of representatives from the City General Services Office, the CEO, and the CAO to ascertain the completion of those projects with unverified status with total cost of P16,298,700.76 including other infrastructure projects completed in CY2021 and below of which the necessary documents are no longer available; the report of said Committee shall be used by CAO for proper reclassification and		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-11	No document has been submitted yet for the creation of a Special Committee.

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		provision of depreciation; and			
		16. Direct the City Accountant to prepare the necessary adjusting entries to reclassify the CIP account to its appropriate asset account upon receipt of necessary documents and to record the appropriate depreciation expenses.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-11	As of December 31, 2024, several of these identified completed projects are still recorded under the CIP account and not yet reclassified to its proper asset account.
AAR 2023	4.) Validity of claims recorded under the Accounts Payable account amounting to P25,757,268.02 could not be established due to incomplete submission and deficient supporting documents to substantiate its recognition as prescribed under P.D. 1445, COA Circular No. 2015-009 and IPSAS 1, thus, casting doubts on the fair presentation of the reported balance of the Financial Liabilities as at year-end.	17. We recommended the City Mayor that the City Accounting Office immediately submit to the Office of the Audit Team the lacking documents to substantiate the validity of claims and a written justification on the noted deficiencies on supporting documents in the recognition of accounts payable to complete the evaluation and to enable us to make a decision in audit.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-18	As of December 31, 2024, validity of claims recorded under the Accounts Payable account amounting to P29,511,203.07 could not be established due to non-submission of supporting documents.
AAR 2023	5.) Errors and long outstanding claims amounting to P1,760,415.14 recorded under Accounts Payable were not adjusted as at December 31, 2023, thus casting doubts on the fair presentation of the reported balance of the Financial	We restated the prior years' recommendations to the City Mayor that the City Accounting Office: 18. Determine whether		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-15	Several long oustanding accounts still remained in the books and not yet paid or reverted. Errors and long outstanding claims amounting to

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	Liabilities as at year-end.	or not the City Government has obligation to pay the creditors of long outstanding accounts recorded under the Accounts Payable;			P5,115,899.06 recorded under Accounts Payable were not adjusted as at December 31, 2024.
		19. For accounts which established obligation to pay, communicate the matter with the concerned offices and set a deadline to process its settlement;		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-15	Several long oustanding accounts still remained in the books and not yet paid or reverted. Errors and long outstanding claims amounting to P5,115,899.06 recorded under Accounts Payable were not adjusted as at December 31, 2024.
		20. Revert the balances of accounts payable with no established obligation to pay including those unsettled after the earlier fixed deadline to the unappropriated surplus; and		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-15	Several long oustanding accounts still remained in the books and not yet paid or reverted. Errors and long outstanding claims amounting to P5,115,899.06 recorded under Accounts Payable were not adjusted as at December 31, 2024.
		21. Draw adjusting entries to correct errors in the recording and the reversion of long outstanding accounts payable.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-15	Several long oustanding accounts still remained in the books and not yet paid or reverted. Errors and long outstanding claims amounting to P5,115,899.06 recorded

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					under Accounts Payable were not adjusted as at December 31, 2024.
AAR 2023	6.) The Loans Payable – Domestic account balance of P709,004,109.40 as at December 31, 2023 is doubtful due to unverified variance of P 749,493.83 of the ledger balances with the records of the financial institutions inconsistent with International Public-Sector Accounting Standards 1 and 28.	22. We restated our prior years' recommendation to the City Mayor that the City Accounting Office reconcile its records with that of the financial/lending institution and effect the necessary adjustments to reflect the correct balance of the Loans Payable – Domestic account.	The City Accountant have reconciled the loan balances with the banks and have adjusted to correct the affected accounts.	Fully Implemented	Not Applicable
AAR 2023	7.) The Trust Liabilities - DRRMF under Trust Fund and Trust Liabilities under General Fund as at December 31, 2023 are misstated by P845,841.93 and P2,788,196.39, respectively, and Government Equity by P3,634,038.32 due to non-adjustment of errors and required year-end accounting entries thereby affecting its fair presentation in the financial statements at year-end.	23. We recommended the City Mayor that the City Accountant immediately prepare the necessary adjusting journal entries to correct the misstated balances of the Trust liabilities-DRRM Fund, Trust Liabilities and Government Equity and furnish the Audit Team thereof.	The City Accountant have made adjustments to correct the affected accounts.	Fully Implemented	Not Applicable
AAR 2023	8.) Errors or omissions in the recording of the transactions resulted in abnormal and unreconciled balances of subsidiary ledger for various relevant accounts, thus, casting doubts on the fair presentation of the balances reported in	24. We recommended to the City Mayor that the City General Services Office and City Accounting establish the non-availability of the records of		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-11	PPE accounts tagged as "For reclassification" still remained in the books and not yet reconciled. Subsidiary Ledgers classified as "For

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	the financial statements as at December 31, 2023. *A. Property, Plant and Equipment Account – Unreconciled balances described as "For reclassification" amounting to P3,110,708.19*	accountability and request for the derecognition of PPE accounts classified as "For reclassification" in accordance with COA Circular No. 2020-004.			reclassification" and others with unknown details totaling to P3,110,708.19 were not supported with the list of PPE items composing thereof.
	B. Real Property Tax (RPT) and Special Education Tax (SET) Receivables - Unreconciled balances described as "For reclassification" amounting to P39,304,922.78 and P38,608,905.23, respectively	25. We further recommended that City Accounting Office correct the unreconciled balances of the subsidiary ledgers under the Real Property Tax and Special Education Tax Receivables.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-18	Real Property Tax (RPT) Receivables and Special Education Tax (SET) Receivables were improperly closed Deferred Real Property Tax.
	C. Property, Plant and Equipment Account - Abnormal balances amounting to P160,664.48 *D. SET Receivables - Abnormal balances amounting to P800,251.3* *E. Due to NGAs account - Abnormal balances amounting to P775,694.78*	26. We recommended the City Mayor that the City Accounting Office makes the necessary adjusting entries to correct the subsidiary ledgers of accounts with abnormal balances.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-18	Special Education Tax (SET) Receivables were improperly closed to Prior Period Adjustments in correcting the abnormal balance.
AAR 2023	9.) Reconciliation of net cash flows from operating activities was not presented in the Notes to Financial Statements (FS) inconsistent with the provisions of Section 27 of IPSAS 1, Section 29 of IPSAS 2 and COA Circular No. 2016-004, thereby affecting the reliability of the Cash and Cash Equivalents balance as at year-end as well as the	27. We recommended the City Mayor that the City Accountant prepare and disclose in the Notes to Financial Statements the Reconciliation of the Net Cash Flows from Operating Activities to Surplus/Deficit.	The City Accountant prepared and disclosed in the Notes to Financial Statements the Reconciliation of the Net Cash Flows from Operating	Fully Implemented	Not Applicable

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	completeness of the disclosure of financial information in the Notes to FS.		Activities to Surplus/Deficit.		
AAR 2023	10.) Transactions for November and December 2023 with total 3,223 approved and posted Journal Entry Vouchers were not examined due to non-submission of financial reports including the supporting documents while delays, ranging from 3 to 303 days, in the submission for the months of January to November 2023 prevented the timely review and evaluation of the validity, propriety and regularity of the transactions and the completion of audit reports.	28. We recommended the City Mayor to ensure that the City Accountant to submit immediately the following financial reports to the Audit Team and to ensure submission thereof within the prescribed period provided under COA rules and regulations: ➢ Bank Reconciliation Statements of the identified bank accounts for the months of December 2023 ➢ The Liquidations Reports including the supporting documents for the month for the months of October to November 2023 ➢ The Reports of Collections and Deposits, Liquidation Reports, and Disbursement Vouchers including the supporting	The City Accountant have submitted the required reports in the recommendation to COA.	Fully Implemented	Not Applicable

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
		documents for the month December 2023			
		Further, we restated our prior year's recommendation as follows: 29. The City Treasurer to ensure submission of the Reports of Collections and Deposits together with the supporting documents to the City Accounting Office prior to the deadline of submission by the CAO to COA to facilitate its timely submission.	The City Treasurer submits the Reports of Collections and Deposits together with the supporting documents to the City Accounting Office within the prescribe period.	Fully Implemented	Not Applicable
		30. The City Mayor to address the limited human resource of the City Accounting Office by hiring/assigning personnel with accounting background to fast track the preparation and submission of City's financial reports and its supporting documents.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-18	No document has been submitted yet to show implementation of the recommendation. In CY 2024, delay in the submission of Bank Reconciliation Statement (BRS), Reports of Collections and Deposits (RCD), Liquidation Reports (LRs), and Disbursement Vouchers (DVs) including the supporting documents ranged from 21 to 104 days.

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AAR 2023	11.) Low utilization of LDRRM Fund at 42.44 percent or P66.886 million only, out of P157.617 million total available funds from the 70% mitigation fund and prior years' unexpended balances caused by the delay and non-implementation of LDDRM PPAs programmed for CY2023 undermines the City's objectives to strengthen its capacity to build disaster resilience and enhance disaster preparedness and response capabilities.	We recommended to the City Mayor the following course of actions: 31. The CDRRM Council and CDRRM Office to conduct an evaluation and reassessment of the delayed and unimplemented LDDRM PPAs and formulate action plan/strategies on how to fast track its completion and to avoid its recurrence; and		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-16	Out of P165.216 million of LDRRM Fund available funds from 70% mitigation fund and prior years' unexpended balances, P76.010 million or 46.01 percent were not utilized caused by the delay and non-implementation of LDDRM PPAs programmed for CY2024.
		32. The CDRRM Office, City Planning and Development Office (CPDO) and the Proponent/Implementing Offices to meticulously plan and propose LDRRM PPAs that are attainable and implementation ready within the budget year to prevent delays in the implementation and achieve optimal utilization of the fund.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-16	Out of P165.216 million of LDRRM Fund available funds from 70% mitigation fund and prior years' unexpended balances, P76.010 million or 46.01 percent were not utilized caused by the delay and non-implementation of LDDRM PPAs programmed for CY2024.
AAR 2023	12.) Five (5) infrastructure projects programmed under the 20% Development Fund and twenty (20) Locally Funded Projects for the years Calendar Year (CY) 2022 and below	We restated our prior years' recommendation to the City Mayor for: 33. The strengthening		Not Implemented	Nine (9) projects, programs and activities (PPAs) under the 20%Development Fund and sixty-three (63)

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	with total appropriation and allotment of P135,051,783.54 were neither started nor completed as at December 31, 2023 inconsistent with the provisions of Presidential Decree No. 1445 and other pertinent laws, rules and regulations, thus, affecting the City Government's efficiency in delivering the timely and optimum benefits derived from the projects.	of the preliminary engineering activities through capacity development of its technical personnel undertaking the detailed engineering activities, facilitating the field survey and inspection and the preparation of program of works and design plans to ensure that the infrastructure projects are procurement-and-implementation ready;		but reiterated in CY 2024 AAR per AOM No. 25-22	Locally Funded Projects programmed from the Calendar Year (CY) 2018 to 2024 with total appropriation and allotment of P146,373,480.00 and P184,966,659.02, respectively, were neither started and/or completed as at December 31, 2024. This observation and recommendation was restated under AOM No. 25-22.
		34. For the City Engineering Office, in coordination with the Bids and Awards Committee, to consider project implemented 'By Administration' be changed to implementation through Contract;	Project implementation "By Administration' have been reduced in CY2024 and limited to projects within the capacity of the CEO.	Fully Implemented	Not Applicable
		35. The implementing offices to fast track the completion of all on-going projects under 20% Development Fund and Locally Funded Projects as at December 31, 2023 and impose liquidating damages against contractors with		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-22	Nine (9) projects, programs and activities (PPAs) under the 20%Development Fund and sixty-three (63) Locally Funded Projects programmed from the Calendar Year (CY) 2018 to 2024 with total

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		incurred significant delays; and			appropriation and allotment of P146,373,480.00 and P184,966,659.02, respectively, were neither started and/or completed as at December 31, 2024.
		36. The implementing offices to conduct evaluation on the unimplemented projects, especially those programmed in prior years, to determine whether it is still favourable on the part of the city government to continue the projects, otherwise, consider immediate realignment or reversion to the unappropriated surplus for re-appropriation to other priority projects subject to budgetary rules and regulations.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-22	Nine (9) projects, programs and activities (PPAs) under the 20%Development Fund and sixty-three (63) Locally Funded Projects programmed from the Calendar Year (CY) 2018 to 2024 with total appropriation and allotment of P146,373,480.00 and P184,966,659.02, respectively, were neither started and/or completed as at December 31, 2024.
AAR 2023	13.) Suspension and Extension orders for various infrastructure projects amounting to P677,139,090.00 funded under LGSF-Assistance to Cities, LGSF- Support to Barangay Development Program (NTF-ELCAC), and Locally Funded Projects were rendered doubtful due to incomplete documentary requirements to support the validity and reasonableness	We restated our prior years' recommendations to the City Mayor that: 37. The City Engineering Office submit the necessary documents to support the validity and reasonableness of the	The City Engineering Office submitted the necessary documents to	Fully Implemented	Not Applicable

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	of its approval as provided under Annex "E" of the Revised IRR of RA No. 9184 of 2016.	approval of time suspensions and extensions, such as but not limited to: ▪ Documentary evidence of the existence of special circumstances to be considered for contract time suspensions and extensions under Item 9 and Item 10 of Annex "D" of Revised IRR of 2016 of RA No. 9184 ▪ Proof of notification by the contractor to the Procuring Entity that: o the occurrence of the special circumstances merits the extension of its contract by citing the affected activities in the POW, and o it had done so before the expiration of the contract and within thirty (30) calendar days after the start of the special circumstance has arisen ▪ Revised PERT-CPM	support the approval of time suspensions and extensions.		

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		Network showing that affected activities fall within the critical path;			
		38. The City Engineering Office prepare the required PERT/CPM network of the project activities as an attachment to the POW and include an estimate on the /unworkable days to arrive at a realistic basis of the total contract time of the project and avoid incurrence of unnecessary delays.	The City Engineering Office have been preparing PERT/CPM network for projects in CY2024.	Fully Implemented	Not Applicable
		We further recommended that: 39. The City Engineering Office and City Accounting Office submit a written justification on failure to impose liquidated damages to contractors whose projects were completed beyond the contract duration;	The City Engineering Office and City Accounting Office have submitted a written justification to COA.	Fully Implemented	Not Applicable
		40. The City Legal Office submit grounds for the non-termination of the contract despite that the negative slippage for the on-	The City Legal Office have submitted the City's grounds for the non-termination of	Fully Implemented	Not Applicable

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		going Construction of Panabo Market Complex (Phase 2) have exceeded the 15% mark contrary to Item IV(A)(2)(a) of Annex "I" of the Revised IRR of 2016 of RA 9184; and	the contract.		
		41. The City Engineering Office and City Accounting Office submit a written justification for the payment of the third, fourth, and fifth progress billing thereof despite that the negative slippage have exceeded the 15% mark contrary to Item IV(A)(2)(a) of Annex "I" of the Revised IRR of 2016 of RA 9184.	The City Engineering Office and City Accounting Office have submitted a written justification for the payment of the third, fourth, and fifth progress billing thereof despite that the negative slippage have exceeded the 15% mark.	Fully Implemented	Not Applicable
AAR 2023	14.) The City Government does not have its own established standards and procedures in the preparation of the Approved Budget Cost that adheres with the provisions in Annex "A" – Detailed Engineering for the Procurement of Infrastructure Projects of the 2016 Revised Implementing Rules and Regulations of RA No. 9184.	We recommended to the City Mayor for: 42. The City Engineering Office to explain and justify the valid administrative, empirical and rational basis for the Approved Budget Cost of the five (5) identified infrastructure projects; and	The City Engineering Office have submitted written explanation and justification to COA.	Fully Implemented	Not Applicable

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		43. The establishment of the City Government's owned standards and procedures in the preparation of the Approved Budget Cost in accordance with the provisions in Annex "A" – Detailed Engineering for the Procurement of Infrastructure Projects of the 2016 Revised Implementing Rules and Regulations of RA No. 9184		Not Implemented	Documents/Information necessary for evaluation has not yet been submitted/communicated to the Audit Team as of December 31, 2024.
AAR 2023	15.) Deficiencies in the internal control on processing and reporting of fuel grant, consumption and utilization as well as in the preparation and approval of trip tickets renders the reasonableness of fuel consumption amounting to P50,575,841.96 and the use government vehicles doubtful and uncertain.	We recommended the City Mayor the following courses of action: 44. City General Services Office (CGSO) establish a uniform written policy, in accordance with applicable laws, rules and regulations, for all the departments/offices of the City Government that provides guidelines for: ▪ fuel allocation, grant, withdrawal and consumption ▪ the use of government vehicles ▪ the deadlines of the submission of the required Monthly Reports including		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-14	As of December 31, 2024, the Audit Team has not yet been furnished with the established written policy governing fuel consumption and vehicle use of the City Government.

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		sanctions for non-compliance thereof			
		45. Information Technology Section under the City Administrator's Office (CAdO), in coordination with CGSO, assess the e-Trip Ticket System to address the several deficiencies noted in this audit observation and determine whether or not the upgrading and continued use of the e-system is still practical and cost-efficient.	Information Technology Section under the City Administrator's Office (CAdO) have already conducted the assessment.	Fully Implemented	Not Applicable
		46. All concerned Departments and Offices ensure that trip tickets, prior to its approval, should contain complete data and information and are signed by the drivers;	All concerned Departments and Offices were ordered to comply with recommendations.	Fully Implemented	Not Applicable
		47. All concerned Departments and Offices in the preparation and approval of MROT, ensure that the distance travelled should reasonably agrees with places visited to avoid inconsistencies in the data and information in the reports;	All concerned Departments and Offices were ordered to comply with recommendations.	Fully Implemented	Not Applicable

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		48. All concerned Departments and Offices submit to the Office of the Audit Team a written justification and the basis for, otherwise, a Notice of Suspension/Disallowance shall be issued if warranted: ▪ granting fuel to motor vehicles and heavy equipment that are not owned by the City Government ▪ approving trips tickets and granting fuel to vehicles classified as unserviceable and for disposal, as well as those with expired LTO registrations;	The concerned Departments and Offices have submitted to the Office of the Audit Team the written justification and their basis.	Fully Implemented	Not Applicable
		49. CGSO, in coordination with the City Human Resource and Management Office (CHRMO), conduct a re-orientation to drivers and other concerned personnel on the laws, rules and regulations in the use of government vehicles and fuel consumption.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-14	As of December 31, 2024, the Audit Team has not yet been furnished with documents show that re-orientation has been conducted. This observation and recommendation was restated under AOM No. 25-14.
AAR 2023	16.) Deficiencies in the internal control and unclear policy/ guidelines for the	We recommended to the City Mayor the following	A proposed City Ordinance have	Fully Implemented	Not Applicable

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
	grant of financial assistance to individuals resulted in unreliable validation of beneficiaries, varying amount of cash assistance granted operational inefficiencies and difficulty in monitoring and evaluation of accountability, thus, exposes government funds to possible misuse.	course of actions: 50. City Social Welfare and Development Office (CSWDO) and City Mayor's Office (CMO) to conduct re-assessment of the existing guidelines and procedures on the grant of 18 types of financial assistance to individuals, to have it authorized through an SP Ordinance, and provide specific criteria (for each type) on the following: ▪ Qualified beneficiaries ▪ Documentary Requirements ▪ Conditions to qualify for financial assistance ▪ Parameters to quantify the amount to be granted ▪ Expected processing time ▪ Office and the position of personnel responsible for each procedure	already been forwarded to the SP for review and passage		
		51. CSWDO and Gender and Development Office to ensure that the		Not Implemented but reiterated in CY 2024 AAR	Unclear quantifiable parameters in determining the amount of financial

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
		details of requirements, procedures, responsible person, amount of fees and processing time for each type of financial assistance offered by the city government be included in its Citizen's Charter;		per AOM No. 25-01	assistance to be granted per beneficiary are still noted three (3) types of financial assistance.
		52. CSWDO and CMO to suspend the additional procedure (not included in the Citizen's Charter) of "Endorsement and determination of amount to be granted by the CMO" until the said procedure be included in the approved guidelines and in the Citizen's Charter;	CSWDO and CMO have suspended the additional procedure and have diligently followed the procedure in the Citizen's Charter.	Fully Implemented	Not Applicable
		53. CMO to suspend the issuance of guarantee letters to private hospital until a Memorandum of Agreement between the City Government and the private hospitals has been entered into and stop the issuance of checks in the name of the beneficiary in the granting of financial assistance for hospital fees;	CMO suspended the issuance of guarantee letters to private hospital and stopped the issuance of checks in the name of the beneficiary in the granting of financial assistance for hospital fees	Fully Implemented	Not Applicable

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
		54. CSWDO to refrain from allowing reimbursements of hospital fees as financial assistance by ensuring applications are processed within the expected processing time or until the revision of the existing guidelines allowing reimbursements has been approved; and	The reimbursement have been discontinued by CSWDO.	Fully Implemented	Not Applicable
		55. CSWDO to ensure that the grant of financial assistance charged under the City Counterpart to Carmen District Hospital is supported with complete documentation and has undergone a thorough case assessment as evidenced by a properly accomplished General Intake Sheet and/or Case Summary.	CSWDO has ensured compliance to the required documents for case assessment.	Fully Implemented	Not Applicable
AAR 2023	17.) Cash advances for Official Travels and fund transfers to NGOs/POs and other LGUs amounting to P5,019,210.24 remained unliquidated as of December 31, 2023 due to non-adherence to the rules and regulations for the liquidation, while liquidations for Cash Advances for Operating Expenses amounting to P2,119,833.73 were not verified due to non-submission thereof within the period	We recommended the City Mayor the following courses of action: 56. To immediately require the officers and employees with cash advances for official travel that are already due and the City Accounting Office to		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-06	Check No. 1624457 dated 03/02/23 and Check No. 1653221 dated 09/15/23 still remained unliquidated as of December 31, 2024.

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
	prescribed casting doubts on the propriety of its disbursements.	submit report of the status thereof to the Audit Team on or before April 1, 2024, otherwise, demand letters will be issued to the accountable officers;			
		57. For unliquidated fund transfers to the Barangays of Panabo City, the City Accounting Office to review the books of the Barangays if disbursements have been made for the purpose of the fund transfer and use the documents thereof as support to the recording of the liquidation of the fund transfer;		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-06	The balance is still outstanding in the books as of December 31, 2024.
		58. For unliquidated fund transfers to Provincial Government of Davao del Norte, the City Accounting Office to coordinate with Provincial Accounting Office for the immediate liquidation thereof;		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-06	The balance is still outstanding in the books as of December 31, 2024.
		59. For accounts that passed the criteria of dormancy, submit request for its writing-off in the books of the City Government in accordance		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-06	No request for write-off has been received by the Audit Team as of December 31, 2024.

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
		with COA Circular No. 2023-008 dated August 17, 2023;			
		60. The City Accounting Office submit immediately to the Audit Team the liquidation reports including the supporting documents for all Cash Advances granted for Operating Expense in CY2023 on or before April 1, 2024, otherwise, demand letters will be issued; and	Liquidations and refunds have been made by the concerned Accountable Officers.	Fully Implemented	Not Applicable
		61. The City Legal Office to impose legal remedies in cases of non-liquidation by the accountable officers with outstanding cash advances despite receipt of demand letter.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-06	The Audit Team has not received a communication from the City Legal Office of any legal remedies availed by the City Government regarding the non-liquidation of cash advances by various AOs.
AAR 2023	18.) Various deficiencies in the internal control for the collections and deposits of collectors and in the handling of cash tickets were observed exposing cash and accountable forms to risk of loss and misuse.	We recommended the City Mayor of the following courses of action: 62. The City Treasurer to ensure that collectors remit collections intact at the close of the business day to the City Treasurer or Liquidating Officer;	The City Treasurer's Office noted by the City Mayor have issued an office memorandum requiring the remittance of collections intact at the close of the	Fully Implemented	Not Applicable

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
			business day.		
		63. The City Mayor immediately order the installation of metal railings and deadlocks to the windows and doors of the City Treasurer's Office and reinforce safety and security measures to all collecting offices of the City;		Not Implemented	Documents/Information necessary for evaluation as shown in the AAPSI was not submitted to the Audit Team as at December 31, 2024.
		64. The City Legal Office to furnish the Audit Team of the Final Investigation Report and the action taken by the management to prevent the occurrence of the same incident;	The Final Investigation Report have been submitted and established controls to prevent the occurrence of the same incident.	Fully Implemented	Not Applicable
		65. For internal control purpose, clear guidelines/policy on procedures and recording for collections and deposits including the handling of accountable forms concerning the designation of sub-collectors should be established by the CTO;	The City Treasurer's Office noted by the City Mayor have issued an office memorandum restating the guidelines/policy on procedures and recording for collections and deposits and enjoins strict compliance thereto.	Fully Implemented	Not Applicable

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
		66. The City Treasurer, in coordination with the CEEMDO, to submit immediately the copies of the City Mayor's designation of the sub-collectors and directly supervise the collections, deposits and usage of accountable forms of the sub-collectors;	Designation of the sub-collectors by the City Mayor have been submitted and the CTO emphasized to CEEMDO that supervision of collections, deposits and usage of accountable forms falls under their jurisdiction.	Fully Implemented	Not Applicable
		67. The City Treasurer require the sub-collector to prepare Reports of Collections and Deposits (RCDs) in accordance with Section 90 of Local Treasury Operations Manual, Edition II (LTOM) and require the regular collector to attached the same to their RCDs submitted to the Liquidating Officer; and,	This requirement is included in the Memorandum Order issued by the City Treasurer's Office duly noted by the City Mayor.	Fully Implemented	Not Applicable
		68. The City Treasurer require the regular collector to maintain a permanent record book of the receipt, issue and transfer of the cash tickets to sub-collector in accordance to Section 86 (D) (1) of LTOM.	This requirement is included in the Memorandum Order issued by the City Treasurer's Office duly noted by the City Mayor.	Fully Implemented	Not Applicable

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
AAR 2023	19.) The share of National Meat Inspection Service (NMIS) pertaining to veterinary inspection fees amounting to P1,057,937.06 were unremitted and recorded under the Due to NGAs account inconsistent with Section 7(b) of Executive Order No. 137 dated November 28, 1993, thereby depriving the said agency of additional funds to support the implementation of various programs and activities in line with their mandate.	We recommended to the City Mayor the following course of actions: 69. The City Treasurer to immediately remit the P1,057,937.06 share of NMIS in the veterinary inspection fees and, thereafter, ensure its quarterly remittance; and	The City Treasurer have remiited the NMIS share in February 2024.	Fully Implemented	Not Applicable
		70. The City Accountant to prepare an adjusting/correcting entry to record the CY 2022 remittance in SL Code 20201050-01-002 (post-mortem) and eventually remove the negative balance in SL Code 20201050-01-001 (ante-mortem) for the fair and accurate presentation of the sub-accounts.	The City Accountant has made adjustments to correct the balances of the affected accounts.	Fully Implemented	Not Applicable
AAR 2023	20.) Due to NGAs account still contained balances which have been dormant for up to sixteen (16) years amounting to P1,217,601.03, thereby, depriving the donor agencies of additional resources to fund other priority projects.	71. We restated the prior years' recommendations to the City Mayor that the City Accounting Office and the City Treasurer's Office return immediately the remaining unused balances of fund transfers received to		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-18	As of December 31, 2024, outstanding balances are still found in the Due to NGAs subsidiary ledgers.

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
		its source agencies, and if the source agencies could no longer be identified, the fund should be returned to the Bureau of the Treasury (BTr).			
AAR 2023	21.) Lot purchased at Barangay Quezon in CY 2015 amounting to 4,722,600.00 intended for the Housing Program for the employees of the City were charged against the 20% Development Fund inconsistent with DBM-DOF-DILG Joint Memorandum Circular No. 1, s.2020, and Administrative Order No. 135, s. 2005, thus hampering the delivery of a just, dynamic and comprehensive housing development for the homeless and under-privileged members of the society.	We restated the prior years' recommendations to the City Mayor that the City Housing Section: 72. Discontinue the utilization of the land located at Barangay Quezon funded out of the 20% Development Fund for the Housing Program intended for the employees of the City.	the utilization of the land located at Barangay Quezon have been discontinue for the Housing Program intended for the employees of the City and in the process of assessment of proper beneficiaries as indicated in the approved program.	Fully Implemented	Not Applicable
		73. Identify qualified beneficiaries belonging to the homeless and underprivileged members of the society for the Socialized Housing Program for the acquired land at Barangay Quezon.		Not Implemented	List of identified qualified beneficiaries has not yet been submitted.
AAR 2023	22.) Under remittance of withholding taxes and withheld GSIS, PhilHealth and Pag-Ibig contributions possess risk on the disqualification in the availment of	We restated the prior years' recommendations to the City Mayor that the City Accounting Office and City			

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
	the benefits by the City Government personnel affected and subjects the City Government for possible fines and penalties; while lapses in monitoring and maintenance of accounts on withholding taxes resulted to possible over remittance.	Human Resource Management Office: 74. Reconcile the gaps between the records of LGU and GSIS to determine the list of regular and casual employees that has no records in their system;		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-19	Unremitted balances are still noted as at December 31, 2024.
		75. Regularly follow-up on the validation of the PhilHealth numbers of the job order personnel; and		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-19	Unremitted balances are still noted as at December 31, 2024.
		76. Immediately remit in full all outstanding withheld GSIS, PhilHealth and Pag-Ibig contributions of the City's employees and job-order personnel.		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-19	Unremitted balances are still noted as at December 31, 2024.
		We further recommended that the City Accounting Office immediately: 77. Reconcile its record to determine the nature and necessary details of the over and under remittance of withholding taxes per fund; and		Not Implemented but reiterated in CY 2024 AAR per AOM No. 25-19	Unremitted balances are still noted as at December 31, 2024.
		78. After reconciliation, make the		Not Implemented but reiterated in	Unremitted balances are still noted as at December

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
		necessary adjusting entries to correct the balances of Due to BIR account per fund.		CY 2024 AAR per AOM No. 25-19	31, 2024.
AAR 2023	23.) Non-synchronization of activities listed in the GAD Plan and Budget with the Annual Investment Program prevented the establishment of actual monitoring and evaluation system to assess the efficiency and effectiveness of gender mainstreaming efforts	We restated the prior years' recommendations to the City Mayor that the City GAD office: 79. Synchronize the GAD programs and activities listed in the GPB with the gender mainstreaming strategies in the AIP in order to incorporate GAD mandates and gender issues that the City intends to address, and to maximize the utilization of funds for the benefit of intended beneficiaries; and	Synchronization of the GAD programs and activities listed in the GPB with the gender mainstreaming strategies in the AIP have been implemented.	Fully Implemented	Not Applicable
		80. Review the objectives and the strategies in addressing the recent and immediate GAD concerns of the City Government and to ensure the efficient delivery and implementation of GAD programs, projects and activities.	GAD objectives and strategies have been reviewed by the GAD Office and applied the same in the incoming Fiscal Years.	Fully Implemented	Not Applicable
AAR 2023	24.) The real property values are outdated and do not reflect the prevailing	81. We restated our prior years' audit	The City Assessor's Office have already	Fully Implemented	Not Applicable

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
	market prices due to failure to update and approve the proposed revision of the Schedule of Fair Market Values (SFMV) since the year 2009, resulting in forgone revenues from real property taxes and the negative impact on the equity of tax burden.	recommendation to the City Mayor that the City Assessor's Office, in coordination with the City Legal Office, prepare a Revised Schedule of Fair Market Values and facilitate the general revision of property assessment as of CY 2024, and submit the same to the Sangguniang Panlungsod for enactment and approval.	forwarded the Revised SFMV to the SP for legislation.		
AAR 2023	25.) Settlement of delinquent accounts on the sales on lawn lots and family estates in the operation of Cemetery totalling P1,321,293.13 as of December 31, 2017 were not verified due to non-submission of pertinent information and data; likewise, status on the review of Section 7, Article III of City Ordinance No. 13-13, An ordinance Establishing the New Panabo City Public Cemetery and Prescribing Rules, Regulations and Imposing Fees for its Operations thereof was also not submitted thus validation of the implementation of prior years' audit recommendation cannot be effected.	We restated our prior years' audit recommendation to the City Mayor that the City Economic Enterprise Management and Development Office (CEEMDO) submit immediately to the Audit team the: 82. Status report of the settlement of delinquent accounts on the sales on lawn lots and family estates in the operation of Cemetery totalling P1,321,293.13 specified in Observation No. 4, Part II – Observations and Recommendations, Annual Audit Report CY2015; and		Not Implemented	The Audit Team has not received a status report on the settlement of delinquent accounts as of December 31, 2024.

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
		83. Status on the review on the provision of Section 7, Article III of City Ordinance No. 13-13, "An ordinance Establishing the New Panabo City Public Cemetery and Prescribing Rules, Regulations and Imposing Fees for its Operations thereof".		Not Implemented	The Audit Team has not received an update on the status on the review on the aforemetioned provision as of December 31, 2024.
AAR 2022	26.) Propriety and regularity of charges against the 20% Development Fund amounting to P1,583,658.43 could not be ascertained due to deficiencies in the documentation in the utilization of continuing appropriation and project implementation contrary to the provisions of DILG-DOF-DBM JMC No. 01, s. 2020, RA No. 7160, and COA Circular No. 2012-001.	84. Finally, we recommended the immediate submission of turn-over documents from the contractor for the pay item Facilities for the Engineer amounting to P1,474,037.91 with complete breakdown and specifications of the items included therein for us to further make a decision in audit.		Not Implemented	Required documents not yet submitted.
AAR 2022	27.) Procedures and remedies allowed under The Local Government Code to enforce collection were not fully enforced causing accumulation of unpaid real property taxes and penalties amounting to P205,256,756.64 which could have been sourced by the city government to support its various programs and projects, thus depriving its constituents of the benefits had the said funds been promptly and expeditiously	We recommended the City Mayor to direct the City Treasurer's Office, City Assessor's Office and other offices concerned to: 85. Undertake effective, efficient, and aggressive tax collection strategies to improve collection through the	The City Treasurer's in coordination with the City Assessor's Office have introduce and implemented various activities and programs to improve collection of unpaid taxes.	Fully Implemented	Not Applicable

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
	collected instead of being allowed to accumulate over the years.	establishment of a formal policy outlining the step-by-step procedures in the enforcement of remedies for the collection of delinquent real property taxes and the reinforcement of public information dissemination of the consequences for non-payment of real property taxes;			
		86. Facilitate the transfer of properties covered by the Right-of-Way to the concerned government agencies in order that these properties be exempted from real property taxes;	The City Legal Office through the request of the City Treasurer's Office has facilitated transfer of properties covered by the Right-of-Way.	Fully Implemented	Not Applicable
		87. Require Rameses Systems Inc. to troubleshoot and fix the systems errors and update the Enhanced Tax Revenue Assessment and Collection System (ETRACS) of the City Government; and	The City Treasurer's Office have coordinated with the developer and attended trainings on updates in the system.	Fully Implemented	Not Applicable
		88. For the delinquent real property taxes with Notice of Delinquency already served and not yet	The City Legal Office and City Treasurer's Office are coordinating to	Fully Implemented	Not Applicable

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
		auctioned, impose the legal remedies either by administrative auction thru levy on real property or judicial action, following the procedures authorized in the Local Government Code, to enforce collection and to undertake the same expeditiously on a yearly basis to reduce amounts accumulated as receivables for delinquent taxes.	impose the legal remedies due the government for the delinquent real property taxes with Notice of Delinquency already served.		
		89. We further recommended the City Mayor to address the small personnel complement of the City Treasurer's Office particularly in the monitoring and enforcement of collection of real property taxes to enhance the City Government's revenue generation capacity.		Not Implemented	
AAR 2021	28.) Non-preparation of inspection report by the inspectorate team on the defects and workmanship flaws in the implementation of five (5) projects under 20% Development Fund resulted in a possible loss or wastage of public funds and placing the local government unit in a bad light for the unsatisfactory work, if not rectified in due time.	We recommended that the City Mayor direct: 90. Likewise, re-evaluate its system of monitoring and supervision of the projects to ensure that the noted deficiencies or discrepancies will be	The City Mayor have issued an Executive Order to reinstate the City Project Moitoring Committee.	Fully Implemented	Not Applicable

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
		avoided.			
AAR 2021	29.) Two (2) completed projects with an aggregate amount of P100.540 million were found to have defects due to poor execution of the projects, thus depriving the intended beneficiaries of the maximum use and full benefits that could have been derived therefrom.	We recommended the following: 91. To direct the concerned contractors to immediately rectify or re-block the defects noted and implement all the portion that were not found and or install the lacking component of the projects revealed during the inspection to prevent issuance of Notice of Disallowance.		Not Implemented	Rectification of the defects is on-going.
		92. Likewise, direct the Office of the City Engineer (CEO) to intensify their monitoring, supervision and planning of all the projects implemented by the City of Panabo to avoid poor quality of projects outcome.	The City Engineering Office have required the close monitoring of the project by the Project-in-Charge.	Fully Implemented	Not Applicable
AAR 2020	30.) Lapses in the conduct of verification and validation process of SAP-ESP beneficiaries resulted in an unreliable database, such as the existence of duplicate entries, inappropriate support documents, and inclusion of unqualified beneficiaries, thereby defeating the purpose of the program on granting	93. We recommended and the management agreed that the City Human Resource Management Office (CHRMO) verify the inclusion of LGU personnel as the recipient of SAP cash subsidy, and require the	The City Human Resource Management Office (CHRMO) have already identified LGU personnel included in the SAP cash subsidy and	Fully Implemented	Not Applicable

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
	immediate relief to targeted beneficiaries greatly affected by the pandemic.	immediate refund of the total cash aid of P234,000.00.	forwarded to CSWDO and CAO for the imposition of the refund.		
AAR 2019	31.) The 120 calendar days-time extension granted to the contractor for the Construction/Establishment of Sanitary Landfill Facilities and Support Utilities at Barangay Waterfall, Panabo City costing P75.79 million is not properly justified resulting to unreasonable delay in project implementation, inconsistent to the requirements of the Revised IRR on R.A. 9184.	94. We recommended further to impose liquidated damages if the contractor incurs delay after the lapse of the revised target date of completion in accordance to Sec. 68 and Item 8, Annex E of the afore-cited Revised IRR.		Not Implemented	Documents/Information necessary for evaluation and the Agency Action Plan has not yet been submitted/communicated to the Audit Team as of December 31, 2024.
AAR 2019	32.) Provisions of the applicable City Ordinances and the terms and conditions of the contract of lease were not strictly enforced by the City Economic Enterprise Management and Development Office due to human consideration, leniency, and practices inherited from previous administration, thus affecting the efficiency and effectiveness of market operations.	We recommended that the Management: 95. firmly and timely implement the raffle process as required by the applicable laws, rules and regulations in the disposition of stalls;		Not Implemented	Documents/Information necessary for evaluation and the Agency Action Plan has not yet been submitted/communicated to the Audit Team as of December 31, 2024.
		96. implement the provisions of the contract, such as prescribing the size and design of the stall signboard and requiring the stallholders to provide fire extinguishers, among others; and		Not Implemented	Documents/Information necessary for evaluation and the Agency Action Plan has not yet been submitted/communicated to the Audit Team as of December 31, 2024.

Ref	Audit Observation	Audit Recommendation	Management's Actions	Status of Implementation	Reason for non-implementation
		97. strictly implement the penalty clause of the contract and other administrative sanctions pertaining to the subleasing of stalls, which includes the cancellation or revocation of the Lease Contract and defaulting lessee shall thereafter be disqualified from leasing another space, stall or building owned by the City.		Not Implemented	Documents/Information necessary for evaluation and the Agency Action Plan has not yet been submitted/communicated to the Audit Team as of December 31, 2024.